

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the	)	
Interstate Transmission System	)	Docket No. RM26-4-000
	)	

**COMMENTS OF
ENCHANTED ROCK, LLC**

Pursuant to the Federal Energy Commission (“FERC” or “Commission”)’s October 27, 2025 *Notice Inviting Comments* in the above proceeding,¹ Enchanted Rock, LLC (“Enchanted Rock”) hereby respectfully submits these comments (“Comments”) for the Commission’s consideration, in order to address the Secretary of Energy’s proposed Advance Notice of Proposed Rulemaking.² Enchanted Rock supports the Commission’s efforts to initiate a rulemaking proceeding in order to consider reforms that will ensure the timely and orderly interconnection of large loads to the transmission system. As part of such rulemaking proceeding, and as discussed further below, Enchanted Rock recommends that the Commission adopt policies to incorporate and incentivize load flexibility as a tool to expedite the interconnection of large loads, which in turn, will enhance grid reliability and help to ensure affordability for all classes of customers.

I. INTRODUCTION

Enchanted Rock is a leading natural gas microgrid developer, owner, and operator, headquartered in Houston, Texas, with over 1.5 GW of reliable, dispatchable energy operational and under construction. With over 370 sites commissioned, Enchanted Rock delivers resilient

¹ See *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² See *Interconnection of Large Loads to the Interstate Transmission System*, Secretary of Energy’s Proposed Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 23, 2025) (“Proposed ANOPR”).

power solutions to data center, manufacturing, critical infrastructure, and utility customers across the country. By integrating our multi-purpose microgrids into these integral infrastructures, Enchanted Rock has achieved 99.9998% combined reliability over 1.6 million run hours.

During a period marked by transformative advances in artificial intelligence, reshoring of manufacturing, and the expansion of cryptocurrency mining, all of which significantly impact the economic development, global competitiveness, and national security of the United States, large load developers, particularly owners of data centers and associated upstream manufacturing facilities (such as makers of microchips and servers), are seeking accelerated access to power and require substantial amounts of electricity that utilities and transmission owners are unable to provide within the timelines required by those customers. Accordingly, and as discussed further below, the transmission system requires flexible solutions that bridge the gap between large load demand and limited transmission capacity, while ensuring that customers' rates are affordable.

II. COMMENTS

Enchanted Rock has been a leading voice for flexibility via the co-location of large loads with new dispatchable generation resources. Indeed, Enchanted Rock previously submitted comments to the Commission in support of the “Load Co-located with Dispatchable Generation” (“LCDG”) framework, whereby “load and generation may be separately metered but are studied together for purposes of retail load interconnection and integration, transmission and resource adequacy planning, and operations.”³ Enchanted Rock reiterates that LCDG is a practical and effective solution that would mitigate transmission constraints and address growing electricity demand associated with the influx of large load facilities. Enchanted Rock respectfully requests

³ See *Large Loads Co-located at Generating Facilities*, Response of Enchanted Rock, LLC, Docket No. AD24-11-000, *et al.*, Section II (Apr. 23, 2025) (“LCDG Proposal”).

that the Commission consider LCDG as part of any final rule addressing the interconnection of large loads to the transmission system.

More specifically, LCDG, if adopted, would mitigate the risk of stranded infrastructure costs falling upon existing grid customers because it would ensure that new large loads would be investing in needed generation resources as they interconnect to the transmission system. In effect, LCDG would help to pair new on-site, dispatchable generation with large loads by:

- 1) Facilitating speed to power: Under circumstances where transmission is unavailable, under LCDG, on-site generation assets would serve as prime power to the large load facility that are waiting for transmission upgrades to be built.⁴ LCDG also supports phased ramping of load demand in coordination with the load facility's development, ensuring faster operational readiness.⁵
- 2) Reducing strain on transmission infrastructure and expedited study timelines: LCDG enables loads to operate as non-firm service customers, thus allowing facilities to be studied as integrated load-generation assets to manage near-term transmission constraints and supply chain bottlenecks.⁶
- 3) Providing grid operators with flexible, dispatchable resources: LCDG offers dispatchable on-site generation that, under grid operator control, can be called on to reduce load or export back to the grid during peak periods, which strengthens reliability and manages grid congestion.⁷

Accordingly, LCDG offers efficient, near-term mitigation pathways and enables speed-to-power for large load customers, while supporting long-term solutions and protecting ratepayers from drastic price increases.⁸ More broadly, Enchanted Rock respectfully urges the Commission

⁴ See LCDG Proposal at 17-18.

⁵ See *id.* at Table 1.

⁶ See *id.* at 10.

⁷ See *id.* at 17.

⁸ See also Peter Asmus, *Data Centers Can Produce Affordable, Sustainable Energy in Today's Constrained Power Markets: Dispatchable Behind-the-Meter Generation that Provides Flexibility is the Answer*, Enchanted Rock, LLC (Sept. 15, 2025), available at: <https://enchantedrock.com/procuring-energy-for-data-centers/>.

to consider the full set of benefits that large load flexibility can enable, and promulgate a final rule that incentivizes large loads to be flexible.⁹

Further, Enchanted Rock respectfully submits that the Commission should consider making large load facilities paired with generation, or large load facilities willing to participate under non-firm service, eligible for an expedited interconnection process. Such processes could operate in parallel with prevailing interconnection processes, with well-defined requirements, to ensure minimal impacts to existing interconnection queues. Efforts such as Southwest Power Pool, Inc. (“SPP”)’s High Impact Large Load Generation Assessment (“HILLGA”)¹⁰ and anticipated Conditional High Impact Large Load Service (“CHILLS”) proposal¹¹ are examples of proposals that will create expedited pathways for interconnecting large loads. The Commission should consider these examples as models for adoption by other Commission-jurisdictional grid operators.

Moreover, while the Secretary of Energy’s Proposed ANOPR states that the “Commission’s jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission’s seven-factor test,”¹² Enchanted Rock notes that the

⁹ As recently noted by the Nicholas Institute for Energy, Environment & Sustainability, to achieve the full set of benefits large load flexibility can enable, FERC should evaluate rules that: (1) enable large load flexibility commitments to avoid or defer transmission upgrade (2) enable large load flexibility commitments to reduce capacity procurements, (3) enable flexible large loads to obtain non-firm withdrawal and, as applicable, injection rights, and (4) clarify study timelines, queue priority, and interconnection process for large load customers, as well as load-supply hybrid facilities and pairings. See Miles Farmer, *et al.*, *How DOE’s Proposed Large Load Interconnection Process Could Unlock the Benefits of Load Flexibility – Considerations for Rulemaking*, Duke – Nicholas Institute for Energy, Environment & Sustainability (2025), available at: <https://nicholasinstitute.duke.edu/sites/default/files/publications/how-does-proposed-large-load-interconnection-process-could-unlock-benefits-load-flexibility.pdf>.

¹⁰ See *Southwest Power Pool, Inc.*, Submission of Tariff Revisions to Add the High Impact Large Load Processes and High Impact Large Load Generation Assessment, Docket No. ER26-247-000 (Oct. 24, 2025).

¹¹ See, e.g., Southwest Power Pool, Inc., RR720 Conditional High Impact Large Load Revision Request (Sep. 15, 2025), available at: <https://spp.org/Documents/74783/RR720.zip>; Southwest Power Pool, Inc. Market Working Group, Summary of Motions and Action Items, Item No. 14 (Oct. 27-28, 2025) (“A straw poll was conducted to gauge interest on CHILL limitation options under RR720 Conditional High Impact Large Load. Options 1 and 2 (detailed below) each received passing straw polls. RR720 will be presented for further education during the November MWG meeting.”).

¹² Proposed ANOPR at P 18.

Commission's seven-factor test¹³ may not always be suitable for determining whether a particular line is transmission (and subject to the Commission's jurisdiction) or distribution (and subject to a state's jurisdiction) in the context of large load facility interconnections. For example, in a hypothetical scenario where a 1 GW load builds a radial line serving only itself in order to interconnect to a 500 kV line that crosses multiple states, some of the seven factors may weigh in favor of such line being a "distribution line," despite the large size of the load facility and the direct connection and electrical proximity to FERC-jurisdictional transmission. Given this, Enchanted Rock respectfully requests that the Commission consider whether it is appropriate to clarify its seven-factor test with respect to its application to the interconnection of large load facilities, or alternatively, to consider brightline criteria specific to the interconnection of large load facilities.

Finally, as part of any potential rulemaking proceeding arising from the Proposed ANOPR, the Commission should direct the North American Electric Reliability Corporation ("NERC") to review and revise its standards to recognize the flexibility created by large loads deploying on-site or co-located generation as a standard operational and planning tool. NERC's existing processes for mitigating system contingencies today rely solely on generation or transmission operations. However, large loads can be made flexible with respect to the transmission system through the deployment of on-site or co-located generation. Acknowledging load flexibility during the transmission planning and interconnection processes allows

¹³ See, e.g., *Cal. Pac. Elec. Co.*, 133 FERC ¶ 61,018, at P 46 (2010) ("[T]he seven factors are as follows: (1) local distribution facilities are normally in close proximity to retail customers; (2) local distribution facilities are primarily radial in character; (3) power flows into local distribution systems; it rarely, if ever, flows out; (4) when power enters a local distribution system, it is not reconsigned or transported on to some other market; (5) power entering a local distribution system is consumed in a comparatively restricted geographical area; (6) meters are based at the transmission/local interface to measure flows into the local distribution system; and (7) local distribution systems will be of reduced voltage.").

transmission planners to assume lower peak demand for the associated load facility,¹⁴ thereby reducing the immediate need for transmission upgrades and expediting interconnection timelines.

III. CONCLUSION

Enchanted Rock appreciates the Commission's attention to these Comments and urges consideration of policies that recognize the value of flexibility via on-site or co-located generation in large load interconnections. Enchanted Rock looks forward to contributing to the Commission's work on this critical effort.

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Respectfully submitted,

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¹⁴ See *Characteristics and Risks of Emerging Large Loads – Large Loads Task Force White Paper*, North American Electric Reliability Corporation, at 14 (July 2025), available at: <https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/whitepaper-characteristics-and-risks-of-emerging-large-loads.pdf>.

CERTIFICATE OF SERVICE

I hereby certify that I have this day caused the foregoing and its attachments to be served upon each person designated on the official service list compiled by the Secretary in the captioned proceeding.

Dated at Washington, D.C., this 21st day of November, 2025.

/s/ Steven Shparber